

Now, let us turn our attention to budget phone makers. It is very difficult to say with certainty that a company like Oppo or Vivo will retain its price advantage because of the high competition in their segment. You might remember that Micromax was a very prominent player in the budget phone market which has since disappeared.

What happens when the competitive edge is wrongly believed to be sustainable?

If a company's competitive advantage is not sustained in the future, the valuations of the company will fall. Suppose we had made investments when valuations were higher. Back then, in the stock market, we believed that the competitive edge would last. Then, we might incur losses when valuations fall.

However, if we find a company that has a remarkable competitive advantage that is sustainable at least five years down the line, then it can be very rewarding for us.

WINNERS AND THE COST OF WINNERS



Paying too much money to buy them

We had previously mentioned that market leaders could have a competitive edge that keeps them on top. So, a common practice is to examine market leaders and then invest in them if the price seems right. Also, sometimes, competitive edges are quite plain to see.

As a result, winners can be expensive. So, we must pay close attention to how a competitive advantage affects a company's value. Then, we can have an idea about whether the stock price is too high, too low, or just right. The last thing we would want to do is pay too much for buying a winner. Then, we might not even recover the amount we invested.